

A very common question I've heard so many times over the years is about how you actually start off, and which positions you take. There are two ways of looking at this, where one is clearly wrong. You could take the view of entering only new signals from the time you go live. That is, you don't actually take any positions on the first day you launch your strategy, but rather wait for new entry signals. The problem with this is that we're dealing with a portfolio strategy here, one which relies on position interaction and diversification. The backtest and research are all based on having a fully loaded portfolio. Taking only new positions would greatly deviate from the plan and could result in highly unpredictable results. That's why we'll go with option number two, replicating the current state of the backtest on the first day, entering into all the positions right away.

An important thing to remember is that all position sizes are adjusted for volatility, so that in theory they have the same approximate daily impact on the bottom line of our whole strategy. You can find the details of this process in previous chapters, but the importance of taking that part seriously cannot be overstressed. Without proper position sizing, your strategy will fail.

The initial portfolio for this strategy at the start of January 2002 is shown in Table 6.1.

Given that each position has the same volatility adjusted size, we can easily sum up each sector to see how the overall allocation of the fund looked (see Table 6.2). This is naturally always an approximation, because the volatility adjusting sizing relies on the flawed assumption that the volatility of the respective instruments will remain constant. As the pie chart in Figure 6.1 shows, our initial portfolio is quite commodity heavy, with over 60% of the allocation between the two commodity sectors.

In the rates section, we hold a mixed long and short exposure, over the long and short side of the curve. Now that may sound a little confusing if you're not used to the interest rates sector, as the words long and short are used in different contexts. The long end of the curve refers to treasuries or bonds maturing a long time from the present, such as a US 30-year bond, while the short end of the curve would be things like shorter-term money market instruments, like the 30-day Fed funds or 90-day Eurodollar.

In the remaining two sectors we carry very little exposure at this point. There really weren't many trends to speak of in the currency and equity sectors by the end of 2001.

Figure 6.2 shows how our strategy performed compared to the MSCI World Total Return Index this year. Early on in the year the strategy was